

AN INCLUSIVE GOVERNANCE PERSPECTIVE

**WESTERN
BABYLON
GROUP
A TEST OF CRONYISM**

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Western Babylon Group (or a Test of Cronyism)

A Comparison from the Perspective of Inclusive Government

At a time when Rakhine State is facing economic difficulties and problems with trade, an important question is: **Who is allowed to do business?**

In particular, Western Babylon Group (WBG) is reportedly allowed to sell essential consumer goods and construction materials in some areas controlled by the AA. Some people in Arakan have said that the business is mainly controlled by Lieutenant Colonel Ni Aung, who is described as a close follower of General Tun Myat Naing. There has also been growing public criticism that business opportunities are mainly given to people who are close to senior ULA/AA leaders.

If we look at this situation not as a single event, but from the perspectives of **cronyism** and **economic governance**, WBG could become an important “**test case**” for examining the relationship between **political power and economic interests** in AA-controlled areas.

What Is Cronyism?

Cronyism means giving business opportunities based not on **ability and open market competition**, but on **close relationships with people who hold political power, personal connections, and political loyalty**.

Therefore, there is no need to simply label WBG as a business group practicing cronyism.

The important question is whether **WBG has the same opportunity to compete under the same rules as other traders, or whether it receives special advantages because of its close connections with people in power**.

If WBG is very closely connected to General Tun Myat Naing, and his father-in-law is also the chairman of the Arakan Traders Association (Central Traders Association), and this connection gives WBG more advantages than other groups of traders, it could damage fair market competition.

During the economic crisis, ordinary traders are facing many barriers to doing business freely. At the same time, WBG is reportedly allowed to sell **essential goods and construction materials** in areas controlled by the AA.

In addition, media reports have highlighted public criticism from a resident of Minbya, who said that only ULA/AA officials and their families are allowed to operate certain businesses.

If these claims can be proven to be true, the situation could mean that “**people close to power receive opportunities**” rather than “**the most capable people succeed through fair competition.**” This is one of the main characteristics of **cronyism**.

The WBG case is more concerning because people have also raised concerns about a possible connection between **economic business rights and administrative power**.

For example, U San Kyaw Hla is the father-in-law of General Tun Myat Naing and serves as the chairman of the traders’ association. People in the business community have also said that he is involved in managing trade-related matters in Rakhine, including the **movement of goods and imports and exports**.

There have also been reports that exporting cattle from the Buthidaung area to Bangladesh requires permission from **U San Kyaw Hla and local military commanders**.

The Argument That He Was “Chosen Because of His Ability”

AA spokesperson U Khaing Thukha reportedly responded, as reported by the BBC, that U San Kyaw Hla was not appointed because he is the father-in-law of General Tun Myat Naing. Instead, he was chosen as the president of Marchants Organization by most business people because of his ability and experience.

When examining this argument, we need to separate “**having ability**” from having a “**fair and open appointment process.**”

A person may truly be qualified and experienced. However, if that person is a close family member of a powerful leader, a stricter process is needed to show that there was no **conflict of interest** in the appointment.

For example:

- Did he have the same chance to compete as other business people?
- Were the selection criteria announced in advance?
- Were independent representatives included in the selection process?
- Was the family relationship openly declared, and was the conflict of interest properly managed?

Until these questions can be answered, the claim that he was “**appointed because of his ability**” alone is not enough to rule out the possibility of **cronyism**.

Is He Really Qualified?

A person may have the skills and experience needed for a particular position. From the perspective of **Inclusive Governance**, we can use some simple standards to examine whether someone is truly qualified.

The key question is:

“Is he qualified?”

To fully understand this question, we should also ask:

1. **Was the process of selecting him transparent?**
2. **Did other people have a fair chance to compete?**
3. **Was his family relationship with powerful leaders openly disclosed?**
4. **Were family members involved in making the decision about his qualifications?**
5. **Could an independent organization review the appointment?**

For example, imagine that two people are competing for the same position and both are qualified. If one of them is a family member of a powerful leader and is selected through a process that is not transparent, **being qualified alone does not prove that the appointment was fair.**

Therefore, the main question is not simply:

“Is U San Kyaw Hla qualified?”

The more important question is:

“How was he selected from among other qualified people?”

This is the question that the public may continue to raise and discuss.

If the principles of **Inclusive Government** are not included in government decisions and policies, public criticism is likely to continue.

If people who are relatives or close to powerful leaders are able to control major parts of a country’s economy without transparency, the public will naturally question the system. Political and social researchers may also continue to monitor and study such a situation.

“We Are Doing This for the National Cause”

U Khaing Thukha told a news outlet that U San Kyaw Hla was **not appointed because he is the father-in-law of the military commander**. He said that U San Kyaw Hla is working for the national cause without taking a salary or other benefits.

However, local business people in Rakhine have reportedly accused the traders’ association of not doing much to help people’s businesses operate properly or to support local economic development. They have also accused some business people of working together with authorities and people who control business opportunities.

From the perspective of **Inclusive Governance**, this issue needs to be examined carefully.

The idea of “**working for the national cause**” may represent a good intention. However, in public administration and Inclusive Governance, **good intentions** and **strong institutional integrity** are not the same thing.

Even if a person is genuinely working for the national cause, the following questions still need to be answered:

1. **Who checked and confirmed his qualifications?**
2. **Were other qualified people given a fair chance to compete?**
3. **Was the selection and appointment process transparent?**
4. **Was the possible Conflict of Interest caused by the family relationship between the person making the appointment and the person being appointed openly disclosed and properly managed?**
5. **Can an independent organization review or monitor the decisions made by the person holding the position?**

Until these questions can be answered, the statement “**he is doing this for the national cause**” alone cannot remove concerns about the integrity of the institution.

Without such standards and safeguards, researchers may examine whether **cronyism is beginning to develop**, while the authorities and institutions involved may also face strong public criticism.

What Do People Lose When Cronyism Develops?

The danger of cronyism is not only that one business makes a profit.

When people who are close to those in power receive special advantages in the market:

- Other traders may become **less able to compete**.
- **Barriers to entering the market** may become higher.
- A small number of people may gain more control over **the prices of goods**.
- Economic resources may become **concentrated in the hands of people close to those in power**.
- A **patronage network** may develop, where political loyalty and business opportunities are exchanged for each other.

This becomes especially serious during **war and economic crisis**. When a small group can control **essential goods**, they may gain not only economic power but also significant influence over **people's daily lives and well-being**.

Why Does Cronyism Develop?

If we see cronyism only as the result of one person's bad behavior or lack of morality, we may fail to see the real root of the problem.

In reality, cronyism often develops when **power is concentrated in the hands of a small group, institutions that can independently check power are weak, public participation is limited, and economic opportunities are not shared in a fair and transparent way**.

Therefore, if we want to prevent cronyism, it is more important to **build a system that can stop the abuse of power even when a bad person comes to power**, rather than simply trying to choose good people.

Conclusion

Although there is not yet enough evidence to clearly define the WBG case as **cronyism**, it is still an important case for studying how **political power and economic interests can become connected**. In particular, it is important to examine openly whether people who are close to powerful leaders receive special advantages compared with other business people.

From the basic perspective of **Inclusive Governance**, good governance is not simply about those in power saying that they are “**doing good things for the people**.” Decision-making should include **Participation, Transparency, Accountability, Equity, and the Rule of Law**. There should also be **Checks and Balances** and independent monitoring to prevent political power and economic interests from becoming concentrated in the same hands.

Therefore, statements such as “**he is qualified**,” “**he is working for the national cause**,” or “**he is serving without taking a salary**” may show good intentions, but they cannot replace institutional accountability.

The most important questions are: **How was this opportunity given? Who made the decision? Were other people given a fair chance to compete? How was the Conflict of Interest managed? And who can review these decisions?**

To prevent cronyism, we should not depend only on “**choosing good people**.” It is more important to build **clear rules, independent monitoring, open appointment processes, and accountability systems** so that whether a good person or a bad person comes to power, they cannot easily abuse that power.

This is especially important during **war and economic crisis**. Who controls essential goods, trade routes, and import and export rights affects not only the economic interests of a small group. It directly affects people’s **livelihoods, economic freedom, and social security**.

Therefore, the main question raised by the WBG case is not simply “**Who is related to whom?**” The more important question is:

“Are economic opportunities and access to power being shared through a system where everyone can participate and compete equally, rather than through personal relationships with a small group of powerful people?”

To determine whether **Inclusive Governance** truly exists, we should not only look at **who holds power**. We should also ask **how power is controlled, how economic opportunities are distributed, how much the public can participate in decision-making, and who can hold those in power accountable**.

For this reason, the WBG case can be viewed not only as a way to examine whether **cronyism exists**, but also as a **test of how openly political power and economic interests are separated**.

In the end, the quality of a system of governance is determined not only by “**Who has power?**” but more importantly by three questions:

“**How is power used?**

Who is it used for?

And who can hold those in power accountable?”

Brief Recommendations for ULA/AA

1. **Ensure equal business opportunities** — Apply the same rules to WBG and all other traders.
2. **Make business decisions transparent** — Publicly explain licensing, trade permissions, taxes, and selection criteria.
3. **Prevent Conflict of Interest** — Officials and their family members should declare business interests and avoid decisions involving their own businesses.
4. **Separate power from business** — Political or military leaders should not use their positions to give advantages to connected businesses.
5. **Create an independent complaint system** — Traders should be able to report favoritism, corruption, or unfair treatment safely.
6. **Protect small businesses** — Prevent monopolies over essential goods, transportation, and major trade routes.
7. **Include the public in economic decisions** — Consult traders, farmers, communities, women, youth, and civil society.
8. **Strengthen checks and balances** — Independent bodies should be able to review decisions made by those in power.

Main recommendation:

ULA/AA should move from **relationship-based economic governance** toward **transparent, equal, and accountable rules** so that business opportunities are based on **ability and fair competition, not political connections or family relationships**.